SEDEMAC™

MECHATRONICS PRIVATE LIMITED

FINANCIAL STATEMENTS 2022-23

B S R & Co. LLP
Chartered Accountants

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Independent Auditor's Report

To the Members of Sedemac Mechatronics Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Sedemac Mechatronics Private Limited (the "Company") which comprise the balance sheet as at 31 March 2023, and the statement of profit and loss and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2023, and its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the financial statements.

Management's and Board of Directors' Responsibilities for the Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the state of affairs, profit/ loss and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c. The balance sheet, the statement of profit and loss and the statement of cash flows dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act.

e. On the basis of the written representations received from the directors as on 31 March 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2023 from being appointed as a director in terms of Section 164(2) of the Act.

f. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company does not have any pending litigations which would impact its financial position.

b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

d (i) The management has represented that, to the best of their knowledge and belief, other than as disclosed in the Note 48(e) to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of their knowledge and belief, other than as disclosed in the Note 48(f) to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The Company have neither declared nor paid any dividend during the year.

f. As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the Company only with effect from 1 April 2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 is not applicable.

C With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Sanjiv Khilnani

Partner

Place: Pune

Membership No.: 122613

Date: 22 September 2023

ICAI UDIN:23122613BGXDWG7309

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of intangible assets.

(i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified in a phased manner every year. In accordance with this programme, all property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No discrepancies were noticed on such verification.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the title deeds of immovable properties (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the Company.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory, except goods-in-transit and stocks lying with third parties, has been physically verified by the management during the year.For stocks lying with third parties at the year-end, written confirmations have been obtained and for goods-in-transit subsequent evidence of receipts has been linked with inventory records. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company.

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments, provided guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or any other parties during the year. Accordingly, provisions of clauses 3(iii)(a) to 3(iii)(f) of the Order are not applicable to the Company.

(iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company has neither made any investments nor has it given loans or provided guarantee or security and therefore the relevant provisions of Sections 185 and 186 of the Companies Act, 2013 ("the Act") are not applicable to the Company. Accordingly, clause 3(iv) of the Order is not applicable.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023 *(Continued)*

(vi) We have broadly reviewed the books of accounts maintained by the Company pursuant to the rules prescribed by the Central Government for maintenance of cost records under Section 148(1) of the Act in respect of its manufactured goods and services provided by it and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. However, we have not carried out a detailed examination of the records with a view to determine whether these are accurate or complete.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues have been regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2023 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no statutory dues relating to Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues, which have not been deposited with the appropriate authorities on account of any dispute.

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, term loans were applied for the purpose for which the loans were obtained.

(d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) The Company does not hold any investment in any subsidiaries, associates or joint ventures (as defined under the Act) during the year ended 31 March 2023. Accordingly, clause 3(ix)(e) is not applicable.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies (as defined under the Act).

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023 *(Continued)*

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the course of the audit.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) The Company is a private limited company and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) The Company is not part of any group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

(xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the

Annexure A to the Independent Auditor's Report on the Financial Statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023 *(Continued)*

Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xix) In our opinion and according to the information and explanations given to us, there is no unspent amount under sub-section (5) of Section 135 of the Act pursuant to any project. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For B S R & Co. LLP

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Sanjiv Khimani

Partner

Membership No.: 122613

ICAI UDIN:23122613BGXDWG7309

Place: Pune

Date: 22 September 2023

Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023

Report on the internal financial controls with reference to the aforesaid financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Sedemac Mechatronics Private Limited ("the Company") as of 31 March 2023 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2023, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial

Annexure B to the Independent Auditor's Report on the financial statements of Sedemac Mechatronics Private Limited for the year ended 31 March 2023 *(Continued)*

statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For B S R & Co. LLP

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Sanjiv Khilnani

Partner

Place: Pune

Membership No.: 122613

Date: 22 September 2023

ICAI UDIN:23122613BGXDWG7309

Balance Sheet as at 31 March 2023

(Amounts in INR Mn. unless otherwise stated)

	Note	31 March 2023	31 March 2022
EQUITY AND LIABILITIES			
Shareholders' funds			
Share capital	3	0.96	0.96
Reserves and surplus	4	1,293.22	1,142.70
		1,294.18	1,143.66
Non- current liabilities			
Long term borrowings	5	351.16	319.50
Other long term liabilities	6	13.90	16.60
Long term provisions	7	36.29	32.00
		401.35	368.10
Current liabilities			
Short term borrowings	8	450.33	577.60
Trade payables	9		
(A) Total outstanding dues of micro enterprises and small enterprises		20.68	29.70
(B) Total outstanding dues of creditors other than micro enterprise and small enterprise		544.20	408.37
Other current liabilities	10	104.65	90.20
Short term provisions	11	9.82	6.80
		1,229.88	1,112.67
TOTAL		2,915.41	2,624.43
ASSETS			
Non-current assets			
Property, Plant and Equipment and Intangible Assets			
(i) Property, plant and equipment	12A	614.37	566.73
(ii) Intangible fixed assets	13A	521.29	452.30
(iii) Capital work-in-progress	12B	25.27	2.10
(iv) Intangible assets under development	13B	413.04	313.30
Long term loans and advances	15	71.80	25.80
Other non-current assets	16	53.78	53.70
		1,699.55	1,413.93
Current assets			
Inventories	17	901.93	910.70
Trade receivables	18	153.79	161.00
Cash and bank balances	19	84.04	82.90
Short term loans and advances	20	55.56	39.90
Other current assets	21	20.24	16.00
		1,215.86	1,210.50
TOTAL		2,915.41	2,624.43
Summary of significant accounting policies	2		
Notes to the financial statements	3-49		

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No : 122613
ICAI UDIN : 23122613BGXOWG7309
Place: Pune
Date: 22 September 2023

For and on behalf of the Board of Directors of
SEDEMAC Mechatronics Private Limited
(CIN : U29253MH2007PTC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904

Place: Lisbon
Date: 22 September 2023

Amit Dixit
Director
DIN 01288169

Place: Pune
Date: 22 September 2023

Statement of Profit and Loss for the year ended 31 March 2023

(Amounts in INR Mn, unless otherwise stated)

	Note	31 March 2023	31 March 2022
Revenue from operations	22		
Sale of products (net)		**4,145.90**	2,771.40
Sale of services		**75.69**	59.80
Other operating revenue		**8.69**	1.50
Total		**4,230.28**	2,832.70
Other income	23	**60.43**	26.50
Total income		**4,290.71**	2,859.20
Expenses			
Cost of materials consumed	24	**3,039.60**	1,963.40
Changes in inventories of finished goods and work-in-progress	25	**(6.31)**	(37.90)
Employee benefits expense	26	**327.57**	259.60
Finance costs	27	**90.08**	70.90
Depreciation and amortization expense	28	**262.56**	206.10
Other expenses	29	**441.42**	352.90
Total expenses		**4,154.92**	2,815.00
Profit before tax		**135.79**	44.20
Tax expense			
Current tax		**26.00**	9.20
Deferred tax		**-**	-
Profit for the year (after tax)		**110.79**	35.00
Earnings per equity share (nominal value of share ₹10 (Previous year : ₹10))			
Earning per Share (₹)	30		
-Basic		**10,056**	3,186
-Diluted		**3,955**	1,244
Summary of significant accounting policies	2		
Notes to the financial statements	3-49		

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No. 122613
ICAI UDIN : 23122613BGXDWG7309
Place: Pune
Date: 22 September 2023

For and on behalf of the Board of Directors of
SEDEMAC Mechatronics Private Limited
(CIN : U29253MH2007PTC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904

Place: Lisbon
Date: 22 September 2023

Amit Dixit
Director
DIN: 01288169

Place: Pune
Date: 22 September 2023

Cash Flow Statement for the year ended 31 March 2023

(Amounts in INR Cr, unless otherwise stated)

		31 March 2023	31 March 2022
A	**Cash flow from operating activities**		
	Net Profit before tax	**136.79**	44.20
	Adjustments:		
	Depreciation and amortization	**262.56**	206.10
	Impairment of asset	**0.18**	-
	Loss on sale of fixed assets	**0.15**	-
	Interest income	**(4.26)**	(5.10)
	Provision for employee stock options scheme	**25.68**	21.40
	Finance costs	**90.08**	70.90
	Operating profit before working capital changes	**510.18**	337.50
	Movement in working capital:		
	Decrease in trade receivables	**7.21**	144.30
	Decrease /(Increase) in inventory	**8.77**	(318.20)
	Decrease / (Increase) in other current assets	**(4.24)**	(6.80)
	(Increase) in other non-current assets	**(16.93)**	(15.90)
	(Increase) / Decrease in short-term loans and advances	**(21.57)**	12.50
	Increase / (Decrease) in trade payables	**226.81**	(106.10)
	Increase in other current liabilities	**26.60**	66.30
	Increase in long-term provisions	**4.29**	8.00
	Increase / (Decrease) in short-term provisions	**3.02**	(8.50)
	Increase in other long-term liabilities	**(2.70)**	4.70
	Cash generated from operations	**741.44**	115.80
	Direct taxes (paid) (net of refund)	**(10.49)**	(20.80)
	Net cash flow generated from operating activities	**730.95**	95.00
B	**Cash flow (used in) investing activities**		
	Purchase of property, plant and equipment	**(291.56)**	(319.60)
	Sale proceeds from Sale of property, plant and equipment	**1.08**	0.60
	Additions to the intangible fixed assets	**(284.49)**	(179.30)
	Interest received	**9.87**	3.50
	Fixed Deposits (made under lien)	**(19.81)**	(23.00)
	Deposits Matured during the year	**58.97**	8.20
	Net cash (used) in investing activities	**(525.94)**	(509.00)

SEDEMAC MECHATRONICS PVT. LTD.

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Cash Flow Statement for the year ended 31 March 2022(Contd.)

C	**Cash flow (used in) / generated from financing activities**		
	Proceeds from issue of equity and preference shares	**4.05**	-
	Term loans received during the year	**184.43**	219.20
	Term loans repaid during the year	**(138.21)**	(70.50)
	Short-term borrowings received during the year	**26.22**	296.50
	Short-term borrowings repaid during the year	**(168.05)**	(20.40)
	Interest (finance cost) paid	**(90.00)**	(70.90)
	Net cash (used in) / generated from financing activities	**(181.56)**	353.90
	Net increase/(decrease) in cash and cash equivalents (A+B+C)	**23.45**	(60.70)
	Cash and cash equivalents at the beginning of the year	**8.70**	69.40
	Cash and cash equivalents at the end of the year (Refer note no. 19)	**32.15**	8.70

	Notes to cash flow statement			
1	Components of cash and cash equivalents			
		31 March 2023	31 March 2022	31 March 2021
	Cash in hand	**-**	-	
	Balances with banks			
	- On current accounts	**32.15**	8.70	69.40
		32.15	8.70	69.40

2 The cash flow has been prepared under the 'Indirect method' as set out in Accounting Standard (AS) 3 - "Cash Flow Statement"

The notes referred to above form an integral part of the financial statements
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No : 122613
ICAI UDIN : 23122613BGXDWG7309
Place: Pune
Date 22 September 2023

For and on behalf of the Board of Directors of
SEDEMAC Mechatronics Private Limited
(CIN : U29253MH2007PTC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904

Place. Lisbon
Date 22 September 2023

Amit Dixit
Director
DIN: 01288169

Place. Pune
Date 22 September 2023

Notes to financial statements for the year ended 31 March 2023

1 Company Overview

Sedemac Mechatronics Private Limited is a private company, incorporated under the Companies Act, 1956. The Company is primarily engaged in the business of development, manufacture and supply of innovative controllers/ECUs. SEDEMAC is a global supplier of high-volume critical controllers/ECUs having noval motor, engine, supervisory and other control technologies, developed in-house. The Company is operating in the various business segments, namely, power generators, automotive, powered equipment, electric vehicles and electric bikes etc. The Company is having well equipped R&D Centre and the world class manufacturing plants. The Company is the key supplier to various established automotive & off highway industry players, locally & globally.

2 Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements.

2.1 Basis of preparation of financial statements

These financial statements have been prepared in accordance with the generally accepted accounting principles in India under historical cost convention on accrual basis. The Company has prepared these financial statements to comply in all material respects with the applicable accounting standards specified under section 133 of the Companies Act, 2013. The financial statements are presented in Indian rupees in Millions unless otherwise stated.

2.2 Use of estimates

The preparation of financial statements in conformity with Generally Accepted Accounting Principles (GAAP) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities on the date of the financial statements. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Any revision to accounting estimates is recognised prospectively in current and future periods.

2.3 Current–non-current classification

All assets and liabilities are classified into current and non-current.

Assets

An asset is classified as current when it satisfies any of the following criteria:

a. it is expected to be realised in, or is intended for sale or consumption in, the Company's normal operating cycle;

b. it is held primarily for the purpose of being traded;

c. it is expected to be realised within 12 months after the reporting date; or

d. it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date

e. current assets include the current portion of non-current financial assets. All other assets are classified as non-current.

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Liabilities

A liability is classified as current when it satisfies any of the following criteria:

a. it is expected to be settled in the Company's normal operating cycle

b. it is held primarily for the purpose of being traded;

c. it is due to be settled within 12 months after the reporting date; or

d. the Company does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

e. current liabilities include current portion of non-current financial liabilities. All other liabilities are classified as non-current.

Operating cycle

Operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. The Company's normal operating cycle is considered as 12 months for the purpose of current and non-current classification of assets and liabilities.

2.4 Fixed assets and Depreciation/Amortization

Property, plant and equipment

Property, plant and equipment are carried at cost of acquisition or construction less accumulated depreciation and/or accumulated impairment loss, if any. The cost of an item of property, plant and equipment comprises its purchase price, including import duties and other non-refundable taxes or levies and any directly attributable cost of bringing the asset to its working condition for its intended use; any trade discounts and rebates are deducted in arriving at the purchase price.

Subsequent expenditures related to an item of property, plant and equipment are added to its book value only if they increase the future benefits from the existing asset beyond its previously assessed standard of performance.

Exchange differences pertaining to long term foreign currency monetary items that are related to acquisition of depreciable assets are recognised as an expense in the Statement of Profit and Loss.

Permanent improvements to leasehold property are depreciated over the lease term or useful life whichever is shorter.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

Depreciation

Depreciation is provided on written down value method based on useful life prescribed in Schedule II to the Companies Act, 2013 as given below:

Assets	Useful lives
Computers	3 years
Plant and equipment	15 years
Furniture and fixtures	10 years
Vehicles	8 years
Office equipment	5 years

Property, plant and equipment is eliminated from the financial statements on disposal or when no further benefit is expected from its use and disposal. Losses arising from retirement or gains or losses arising from disposal of fixed assets which are carried at cost are recognised in the Statement of Profit and Loss.

Intangible fixed assets

(i) Acquired intangible assets representing computer software is recorded at its acquisition price and is amortized over its estimated useful life on a straight line basis, commencing from the date the asset is available for its use. The management has estimated the useful life for such software as five years. The useful life of the asset is reviewed by the management at each Balance Sheet date. After initial recognition, an intangible asset is carried at its cost less any accumulated amortization and any accumulated impairment loss.

(ii) Internally generated intangible assets :

- Expenditure on research activities, undertaken with the prospect of gaining new scientific or technical knowledge and understanding, is recognised in the Statement of Profit and Loss as incurred.

- Development activities involve a plan or design for the production of new or substantially improved products or processes. Development expenditure is capitalised only if developments costs can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete development and to use the asset. The expenditure capitalised includes the cost of the materials, direct labour, overhead costs that are directly attributable to preparing the asset for its intended use.

(iii) Subsequent expenditure : Subsequent expenditure is capitalised only when it increases the future economic benefits from the specific asset to which it relates. An intangible asset is derecognized on disposal or when no future economic benefits are expected from its use and disposal. Losses arising from retirement and gains or losses arising from disposal of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss.

(iv) Goodwill that arises on business transfer agreement is presented as an intangible asset. Such goodwill is measured at cost less accumulated amortisation and accumulated impairment loss. Such goodwill is amortised over the five years.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

2.5 Impairment of Assets

In accordance with Accounting Standard (AS 28) - Impairment of Assets, the carrying amounts of the Company's assets including intangible assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indications exist, the assets recoverable amount is estimated as the higher of the net selling price and the value in use. An impairment loss is recognised whenever the carrying amount of an asset or its cash generating units exceeds its recoverable amount. If at the Balance Sheet date, there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is assessed at the recoverable amount subject to a maximum of depreciable historical cost.

2.6 Operating lease

"Assets acquired under leases other than finance leases are classified as operating leases. The total lease rentals (including scheduled rental increases) in respect of an asset taken on operating lease are charged to the Statement of Profit and Loss on a straight line basis over the lease term.

2.7 Inventories

Inventories which comprise raw materials, work-in-progress and finished goods are carried at the lower of cost and net realisable value. Cost of inventories comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

In determining the cost, first in first out method is used. In the case of manufactured inventories and work in progress, cost includes fixed production overheads. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated costs necessary to make the sale.

The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products. Raw materials and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis.

2.8 Employee Benefits

a) Short term employee benefits

Employee benefits payable wholly within twelve months of receiving employee services are classified as short-term employee benefits. These benefits include salaries and wages, bonus and ex-gratia. The undiscounted amount of short-term employee benefits to be paid in exchange for employee services is recognised as an expense as the related service is rendered by employees.

b) Post employment benefits (defined benefit plans)

The employees' gratuity scheme is a defined benefit plan. The present value of the obligation under such defined benefit plan is determined at each Balance Sheet date based on an actuarial valuation carried out by an independent actuary using the projected unit credit method. Actuarial gains and losses and past service costs are recognised immediately in the Profit and Loss Account.

SEDEMAC MECHATRONICS PVT. LTD.

Notes to financial statements for the year ended 31 March 2023 (Contd.)

c) Post employment benefits (defined contribution plans)

A defined contribution plan is a post-employment benefit plan under which an entity pays specified contributions to a separate entity and has no obligation to pay any further amounts. The Company makes specified monthly contributions towards employee provident fund to Government administered provident fund scheme which is a defined contribution plan. The Company's contribution is recognised as an expense in the Statement of Profit and Loss during the period in which the employee renders the related service.

d) Long term employee benefits

Long term employee benefits comprise compensated absences. These are measured based on an actuarial valuation carried out by an independent actuary using the projected unit credit method at each Balance Sheet date. Actuarial gains and losses and past service costs are recognised immediately in the Statement of Profit and Loss.

2.9 Revenue Recognition

Revenue from sale of goods in the course of ordinary activities is recognised when property in the goods or all significant risks and rewards of their ownership are transferred to the customer and no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods and regarding its collection.

Royalty Income is recognized on the basis of number of units manufactured by the ultimate customer to whom products have been offered on royalty per unit basis

Service Income is recognised on the completion of such services.

Interest income is recognised on time proportion base taking into account the amount outstanding and the rate applicable

2.10 Foreign Currency Transactions

Foreign currency transactions are recorded at the rate of exchange prevailing on the date of the respective transactions. Monetary foreign currency assets and liabilities remaining unsettled at the Balance Sheet date are translated at the rates of exchange prevailing on that date

Gains / losses arising on account of realisation / settlement of foreign exchange transactions and on translation of foreign currency assets and liabilities are recognised in the Statement of Profit and Loss.

2.11 Provisions

A provision is recognised if, as a result of a past event, the Company has a present obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are recognised at the best estimate of the expenditure required to settle the present obligation at the balance sheet date. The provisions are measured on an undiscounted basis

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

2.12 Contingent liabilities and contingent assets

A contingent liability exists when there is a possible but not probable obligation, or a present obligation that may, but probably will not, require an outflow of resources, or a present obligation whose amount cannot be estimated reliably. Contingent liabilities do not warrant provisions, but are disclosed unless the possibility of outflow of resources is remote. Contingent assets are neither recognised nor disclosed in the financial statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

2.13 Income taxes

Income tax expense comprises current tax (i.e. amount of tax for the period determined in accordance with the income-tax law) and deferred tax charge or credit (reflecting the tax effects of timing differences between accounting income and taxable income for the period).

The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the Balance Sheet date.

Deferred tax assets are recognised only to the extent that there is reasonable certainty that the assets can be realised in future; however where there is unabsorbed depreciation or carried forward losses under taxation laws, deferred tax assets are recognised only if there is a virtual certainty of realisation of such assets. Deferred tax assets are reviewed at each Balance Sheet date and written down or written-up to reflect the amount that is reasonably / virtually certain (as the case may be) to be realised.

Minimum Alternative Tax ('MAT') under the provisions of the Income ₹ tax Act, 1961 is recognized as current tax in the Statement of Profit and Loss. The credit available under the Act in respect of MAT paid is recognized as an asset only when and to the extent there is convincing evidence that the company will pay normal income tax during the period for which the MAT credit can be carried forward for set ₹ off against the normal tax liability.

2.14 Earnings per share (EPS)

The basic earnings per share is computed by dividing the Profit after tax attributable to the equity shareholders for the year by the weighted average number of equity shares outstanding during the reporting period.

2.15 Employee Stock Option schemes

The fair value of options as computed according to Black Scholes models, at the grant date is regarded as employee compensation, and recognised on a straight-line basis over the graded vesting period in which the employee would become unconditionally entitled to apply for shares.

2.16 Borrowing Cost

Borrowing Costs directly attributable towards product development that takes substantial period of time to complete are capitalised as a part of product development under intangible assets. All other borrowing costs are expensed in the period in which they occurred. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

2.17 Accounting for Business Transfer

The Company has adopted the 'purchase method' for accounting of business transfer agreement. for business purchased in FY 2017, whereby the assets and liabilities as specified under the business transfer agreement have been recorded by the Company as per the valuation done by the independent valuer.

2.18 Accounting for Government Grant

As per AS 12 - Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received, and the company will comply with all attached conditions. During the FY 22-23, the company has established its right to receive the grant INR 56.17 Mn, under the 'Industrial Promotion Subsidy 2016 (IPS-2016)' under Electronic Policy of the Government of Maharashtra. Since the grant is received on compliances of conditions attached with the policy, the grant is treated as other income.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

3 Share Capital (Also read note no 46)

	31 March 2023	31 March 2022
Authorised		
Equity Shares		
11,900 (Previous year: 11,900) equity shares of ₹ 10 each	**0.12**	0.12
Total	**0.12**	0.12
Authorised		
Preference Shares		
5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	**0.05**	0.05
3,200 (Previous year: 3,200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	**0.03**	0.03
1,400 (Previous year: 1,400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.14**	0.14
700 (Previous year: 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.07**	0.07
770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.08**	0.08
800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.08**	0.08
3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.33**	0.33
1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**0.10**	0.10
Total	**0.88**	0.88
Grand Total	**1.00**	1.00
Issued, subscribed and paid-up		
Equity Shares		
11,077 (Previous year: 10,986) equity shares of ₹ 10 each fully paid up	**0.11**	0.11
Total	**0.11**	0.11
Preference Shares		
5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up	**0.05**	0.05
3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up	**0.03**	0.03
1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up	**0.13**	0.13
648 (Previous year: 648) 0.001% Series D CCPS of ₹ 100 each fully paid up	**0.06**	0.06
762 (Previous year: 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up	**0.08**	0.08
797 (Previous year: 797) 0.001% Series E CCPS of ₹ 100 each fully paid up	**0.08**	0.08
3,247 (Previous Year: 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up	**0.32**	0.32
1,023 (Previous Year: 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up	**0.10**	0.10
Total	**0.85**	0.85
Grand Total	**0.96**	0.96

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

(a) Reconciliation of shares outstanding at the beginning and at the end of the reporting period

	31 March 2023		31 March 2022	
	Numbers in absolute	Amount	Numbers in absolute	Amount
Equity Shares:				
At the commencement of the year	**10,986**	**0.11**	10,986	0.11
Shares issued during the year	**91**	**0.00**	-	-
At the end of the year	**11,077**	**0.11**	10,986	0.11
Amounts disclosed as 0.00 are below the disclosure thresholds of the company				
CCPS:				
Series A-CCPS				
At the commencement and at the end of the year	**5,179**	**0.05**	5,179	0.05
Series B-CCPS				
At the commencement and at the end of the year	**3,111**	**0.03**	3,111	0.03
Series C-CCPS				
At the commencement and at the end of the year	**1,343**	**0.13**	1,343	0.13
Series D-CCPS				
At the commencement and at the end of the year	**648**	**0.06**	648	0.06
Series D1-CCPS				
At the commencement and at the end of the year	**762**	**0.08**	762	0.08
Series E-CCPS				
At the commencement and at the end of the year	**797**	**0.08**	797	0.08
Series E1-CCPS				
At the commencement and at the end of the year	**3,247**	**0.32**	3,247	0.32
Series F-CCPS				
At the commencement and at the end of the year	**1,023**	**0.10**	1,023	0.10

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

(b) Rights, preferences and restrictions attached to equity shares

The Company has a single class of equity shares. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time subject to payment of dividend to preference shareholders. The voting rights of an equity shareholder on a poll are in proportion to its share of the paid-up equity capital of the Company. On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held.

(c) Rights, preferences and restrictions attached to preference shares

0.001% Series A Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series B Compulsorily Convertible preference shares - Each preference share is convertible into one equity share of value ₹ 10 at the time as mentioned in the subscription agreement. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series C, 0.001% Series D and 0.001% Series D1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series C and D1 - one equity share of ₹ 10 each

Series D - 0.88 equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013

0.001% Series E, and 0.001% Series E1 Compulsorily Convertible preference shares - Each preference share series is convertible as follows:

Series E - 0.86 equity share of ₹ 10 each

Series E1 - one equity share of ₹ 10 each

within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013.

0.001% Series F Compulsory Convertible preference shares is convertible as follows.

Series F - one equity share of ₹ 10 each within 20 years from the date of allotment or satisfaction of conditions mentioned in the subscription agreement, whichever is earlier. The preference shareholders will have the voting rights as per the provisions of section 47(2) of the Companies Act, 2013

Rights of preference share holders

As per the Investors Right Agreement dated 22 May 2019 "the agreement", as regards to Series A, B, C, D, D1, E, E1, F CCPS, the Company shall endeavour to complete either a Qualified Initial Public Offering or a Strategic Sale by 01 October, 2022 or Strat-Fin Exit by 01 October 2023. The preference share holders of the Company have not exercised this right till the date of signing of these financial statements.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Until a Qualified Initial Public Offering in accordance with applicable law and the provisions of the agreement, or a Strategic Sale, or a Strat-Fin Exit, the Company hereby from time to time grants, and the Founders shall, jointly and severally, cause the Company from time to time to grant, to each of the Investors, the respective pre-emptive right to subscribe to and purchase their respective Entitlement of the New Securities that the Company may, at any time from the date of execution of this Agreement, propose to sell and issue to a third party or other potential investor.

Until the Qualified Initial Public Offering or a Strategic Sale or a Strat-Fin Exit, the Company shall not at any time issue (except with the previous consent of investors in the manner set out in the agreement) any new securities below the price at which the Investors subscribed to the Preference Shares. In which event if such new securities are below the price at which the Investors subscribed to Preference Shares and consent is given, then, the Preference shares conversion ratio will stand adjusted in respect of any such issuance of new securities on a broad based weighted average basis (calculated as per the formula set out in Schedule VI of the agreement), which takes into account issuances of new securities. To the extent the Preference Shares conversion ratio cannot be adjusted as above then the Investors shall have the right to subscribe to such number of Equity Shares (at the lowest possible price, in accordance with applicable law) as may be required to achieve the above.

(d) Particulars of shareholders holding more than 5% shares of a class of shares

	31 March 2023		31 March 2022	
	Number	% of total shares in the class	Number	% of total shares in the class
Equity shares of ₹ 10 each fully paid up held by-				
Shashikanth Suryanarayanan	**4,800**	**43.33%**	5,435	49.47%
Amit Dixit	**908**	**8.20%**	908	8.27%
Manish Sharma	**592**	**5.34%**	592	5.39%
Malika Iyer	**1,120**	**10.11%**	1,120	10.19%
Pushkaraj Panse	**578**	**5.22%**	578	5.26%
Montana Ventures	**883**	**7.97%**	883	8.04%
Series A-CCPS of ₹ 10 each fully paid up held by-				
Nexus India Ventures Investments	**5,179**	**100%**	5,179	100%
Series B-CCPS of ₹ 10 each fully paid up held by-				
TR Capital III Mauritius	**1,947**	**62.58%**	1,947	62.58%
Nexus India Ventures Investments	**1,164**	**37.42%**	1,164	37.42%
Series C-CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	**767**	**57.11%**	767	57.11%
TR Capital III Mauritius	**576**	**42.89%**	576	42.89%
Series D-CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	**648**	**100%**	648	100%

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

	31 March 2023		31 March 2022	
	Number	% of total shares in the class	Number	% of total shares in the class
Series D1- CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	762	100%	762	100%
Series E- CCPS of ₹ 100 each fully paid up held by-				
Nexus India Ventures Investments	797	100%	797	100%
Series E1- CCPS of ₹ 100 each fully paid up held by-				
Entrust Family Office Lega And Trusteeship Services Private Limited	3,247	100%	3,247	100%
Series F- CCPS of ₹ 100 each fully paid up held by-				
Iron Pillar Fund I Ltd	644	63%	644	63%
Iron Pillar India Fund I	379	37%	379	37%

(d) a) Shares held by Promoters at the end of the year 31-03-2023

Sr. No	Promoter's Name	Class of Shares	No. of Shares	% of total Shares	% Change during the year
1	Mr. Shashikanth Suryanarayanan	Equity Shares	4,800	43.33%	13.23%
2	Mr. Amit Dixit	Equity Shares	908	8.20%	0.00%
3	Mr. Manish Sharma	Equity Shares	592	5.34%	0.00%

(d) b) Shares held by Promoters at the end of the year 31-03-2022

Sr. No	Promoter's Name	Class of Shares	No. of Shares	% of total Shares	% Change during the year
1	Mr. Shashikanth Suryanarayanan	Equity Shares	5,435	49.47%	0.00%
2	Mr. Amit Dixit	Equity Shares	908	8.27%	0.00%
3	Mr. Manish Sharma	Equity Shares	592	5.39%	0.00%

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

4 Reserves and surplus

	31 March 2023	31 March 2022
Securities premium account		
At the commencement of the year	1 127.70	1,127 70
Premium on issue of equity shares	4 05	-
Transfer to security premium - Options exercised during the year	4.36	-
At the end of the year	**1,136.11**	1,127.70
Deficit (Profit and loss balance)		
At the commencement of the year	(89 20)	(124.20)
Profit for the year	110.79	35.00
At the end of the year	**21.59**	(89 20)
Employee Stock Options		
At the commencement of the year	80.80	59 30
Employee compensation expense for the year	25 68	21 50
Transfer to security premium - Options exercised during the year	(4.36)	-
At the end of the year	**102.12**	80.80
Capital Reserve		
At the commencement of the year	23 40	23.40
Government Grant for the year (Refer Note 2.18)	-	-
At the end of the year	**23.40**	23 40
Total reserves and surplus	**1,283.22**	**1,142.70**

5 Long -term borrowings

	Non-current portion		Current portion*	
	31 March 2023	31 March 2022	31 March 2023	31 March 2022
Term Loans - Secured				
From Banks				
- HDFC Bank Limited - Term Loan	**33.18**	64 30	**30.13**	40.20
- HDFC Bank Limited - Car Loan	**0.84**	1.70	**0.84**	0.80
- HDFC Bank Limited - ECLGS Loan	**3.55**	10.60	**7.10**	7.10
- ICICI Bank Ltd Term Loan	**90.08**	32 10	**36.51**	14 30
- Indusind Bank Term Loan	**71.05**	-	**18.95**	-
-EXIM Bank Term Loan	**90.00**	100.00	**10.00**	-
			-	
From Others	-		-	
- BAJAJ Finance Limited - ECLGS Loan	**9.28**	23 80	**14.71**	13 40
- BAJAJ Finance Limited - Term Loan	**53.18**	71.10	**18.52**	17.80
	-	-	-	-
Term Loans - Unsecured				
From Others				
- Mahindra and Mahindra Bank Limited Loan	-	15.90	-	19.60
	351.16	319.50	**136.76**	122.20

* amounts disclosed under "short term borrowings"

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Note 1

Details of outstanding borrowings *(current year)*

Loans	Outstanding loan amount	Repayment in instalments	Repayment		Rate of interest
			Starting from	Ending on	
HDFC Bank Ltd - Term Loan	63.31	60 (Monthly)	August 2019	January 2025	9.43%
		59 (Monthly)	September 2019	January 2025	
		56 (Monthly)	November 2019	January 2025	
		60 (Monthly)	December 2020	November 2025	
HDFC Bank Ltd - Car Loan	1.68	60 (Monthly)	March 2020	February 2025	8.60%
HDFC Bank Ltd- ECLGS Loan	10.65	36 (Monthly)	October 2021	September 2024	9.25%
ICICI Bank Ltd - Term Loan	32.15	14 (Quarterly)	January 2022	April 2025	8.40%
	94.44	17 (Quarterly)	February 23	May 27	11.25%
IndusInd Bank - Term Loan	90.00	19 (Quarterly)	June 23	December 27	9.45%
Exim Bank - Term Loan	100.00	20 (Quarterly)	October 2023	July 2028	8.50%
Bajaj Finance Limited-ECLGS Loan	23.99	36 (Monthly)	November 2021	October 2024	9.90%
Bajaj Finance Limited - Term Loan	71.70	60 (Monthly)	August 2021	July 2026	9.40%

Details of outstanding borrowings (previous year)

Loans	Outstanding loan amount	Repayment in instalments	Repayment		Rate of interest
			Starting from	Ending on	
HDFC Bank Ltd - Term Loan	93.40	60 (Monthly)	August 2019	January 2025	8.30%
		59 (Monthly)	September 2019	January 2025	
		56 (Monthly)	November 2019	January 2025	
		60 (Monthly)	December 2020	November 2025	8.55%
	12.10	19 (Monthly)	October 2021	April 2023	8.55%
	8.00	14 (Monthly)	October 2021	November 2022	8.55%
HDFC Bank Ltd - Car Loan	2.50	60 (Monthly)	March 2020	February 2025	8.60%
HDFC Bank Ltd- ECLGS Loan	17.70	36 (Monthly)	October 2021	September 2024	8.25%
ICICI Bank Ltd - Term Loan	46.40	14 (Quarterly)	January 2022	April 2025	8.45%
Exim Bank - Term Loan	100.00	20 (Quarterly)	October 2023	July 2028	8.00%
Bajaj Finance Limited-ECLGS Loan	37.20	36 (Monthly)	November 2021	October 2024	8.75%
Bajaj Finance Limited - Term Loan	88.90	60 (Monthly)	August 2021	July 2026	8.25%
Mahindra & Mahindra Fin Services Ltd - Term Loan	35.50	24 (Monthly)	January 2022	December 2023	9.40%

SEDEMAC MECHATRONICS PVT. LTD.

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

Note 2

The details of security as follows:

1 First Pari Pasu charge by way of hypothecation in favour of HDFC, ICICI, Bajaj Finance , Export Import Bank of India and IndusInd Bank Ltd on all movables assets at all location's of the company.

2 First Pari Pasu charge by way of mortgage in favour of HDFC, ICICI, Bajaj Finance & Export Import Bank of India of all immovable security along with land and building thereon both present and future

3 Extension of second ranking charge in favour of Bajaj Finance and HDFC over existing primary and collateral securities including mortgages created in favour of the Bank.

6 Other long-term liabilities

	31 March 2023	31 March 2022
Accrual for straight lining of rent	13.90	16.60
	13.90	16.60

7 Long term provisions

	31 March 2023	31 March 2022
Gratuity (refer note 31)	25.34	20.10
Compensated absences	5.32	5.00
Warranty Provision (refer note 43)	4.63	5.90
	36.29	32.00

8 Short-term borrowings

	31 March 2023	31 March 2022
Loans repayable on demand (secured)		
HDFC Cash credit facility from bank	-	42.40
Short Term Revolving Loan Facility from Bajaj Finance	130.00	150.00
Export Packing Credit Facility from HDFC Bank	44.53	34.60
Cash credit Facility from ICICI Bank	52.95	158.60
Cash Credit Facility from IndusInd Bank	86.09	69.80
Current maturities of long term debt (refer note 5)	136.76	122.20
	450.33	577.60

1 Cash credit facility from HDFC Bank, carried interest of 8.50% p.a. (previous year : 8.90% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand These were primarily secured by hypothecation of all current assets, both present and future.

2 Short Term Revolving Loan Facility ('STRL') from Bajaj Finance carry interest of 9.25% p.a. (previous year : 8.75 %) p.a computed on a monthly basis on the actual amount utilised and are renewable after every three months STRL facility is primarily secured by hypothecation of all current assets, both present and future.

3 Export Packing Credit Facility from HDFC Bank carried interest of 5.50% p.a. to 6.86% p.a.

(previous year : 3.90% p.a.) computed on a monthly basis and were repayable on due date. These were primarily secured by hypothecation of all current assets, both present and future.

4 Cash credit facility from ICICI Bank, carried interest of 11% p.a. (previous year : 8.90% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. Working capital demand loan facility with ICICI Bank carried interest of 9.40% p.a. (previous year Nil), computed on a monthly basis. These were primarily secured by hypothecation of all current assets, both present and future.

5 Cash credit facility from IndusInd Bank, carried interest of 9.00% p.a. (previous year : 8.50% p.a.) computed on a monthly basis on the actual amount utilised and were repayable on demand. These were primarily secured by hypothecation of all current assets, both present and future. Lien in favour of IndusInd Bank on two Fixed deposits of ₹ 10 Mn. & Rs. 2 Mn. (previous year one fixed deposit of ₹ 10 Mn.) placed with IndusInd Bank Ltd.

9 Trade payables

	31 March 2023	31 March 2021
(A) Total outstanding dues of micro enterprises and small enterprises (refer note no 35)	20.68	29.70
(B) Total outstanding dues of creditors other than micro enterprise and small enterprise	644.20	408.37
	664.88	438.07

9 a) Trade payables ageing schedule

	Particulars	Outstanding for following periods from due date of payment - 31-03-2023					
		Current but not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i)	MSME	20.61	0.07	-	-	-	20.68
(ii)	Others	569.49	59.36	15.34	0.01	-	644.20
(iii)	Disputed Dues - MSME	-	-	-	-	-	-
(iv)	Disputed Dues - Others	-	-	-	-	-	-
	Total	590.10	59.43	15.34	0.01	-	664.88

	Particulars	Outstanding for following periods from due date of payment - 31-03-2022					
		Current but not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i)	MSME	27.50	2.20	-	-	-	29.70
(ii)	Others	332.07	74.80	1.50	-	-	408.37
(iii)	Disputed Dues - MSME	-	-	-	-	-	-
(iv)	Disputed Dues - Others	-	-	-	-	-	-
	Total	359.57	77.00	1.50	-	-	438.07

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

10 Other current liabilities

	31 March 2023	31 March 2022
Employee related payables	58.14	32.20
Accrual for straight lining of rent	3.93	-
Statutory dues payable	21.73	25.00
Advance from customers	0.00	0.00
Creditors for fixed assets	18.37	30.40
Interest accrued and not due	2.68	2.60
	104.85	90.20

* Amounts disclosed as 0.00 are below the disclosure thresholds of the company

11 Short term provisions

	31 March 2023	31 March 2022
Provision for employee benefits		
-Gratuity (refer note 31)	3.75	3.50
-Compensated absences	0.46	0.40
Warranty Provision (refer note 43)	5.61	2.90
	9.82	6.80

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

12 A. Property, plant and equipment

Description	Land	Building	Jigs & Fixtures	Electric Installa-tion	Plant and machinery	Furniture and fixtures	Computers	Vehicles	Leasehold improve-ments	Office equipment	Total
Gross block											
Balance as at 1 April 2021	23.33	26.30	23.20	1.90	560.00	35.40	67.30	8.00	49.10	16.80	811.33
Additions	-	0.10	8.80	2.30	134.00	19.70	24.40	0.40	49.10	16.50	255.30
Disposals	-	-	-	-	5.90	6.30	5.70	0.30	28.00	2.40	48.60
Balance as at 31 March 2022	23.33	26.40	32.00	4.20	688.10	48.80	86.00	8.10	70.20	30.90	1,018.03
Balance as at 1 April 2022	**23.33**	**26.40**	**32.00**	**4.20**	**688.10**	**48.80**	**86.00**	**8.10**	**70.20**	**30.90**	**1,018.03**
Additions	**-**	**0.06**	**8.35**	**2.57**	**120.00**	**11.30**	**30.01**	**0.62**	**15.72**	**7.22**	**195.85**
Disposals	**-**	**-**	**-**	**-**	**2.17**	**5.08**	**2.73**	**-**	**0.46**	**0.12**	**10.56**
Balance as at 31 March 2023	**23.33**	**26.46**	**40.35**	**6.77**	**805.93**	**55.02**	**113.28**	**8.72**	**85.46**	**38.00**	**1,203.32**
Depreciation											
Balance as at 1 April 2021	-	9.20	13.20	0.70	217.40	22.90	56.20	3.30	39.70	13.10	375.70
Depreciation for the year	-	1.60	9.40	0.50	72.70	4.60	15.60	1.40	9.50	3.80	119.30
Accumulated depreciation on disposal	-	-	-	-	4.80	5.70	5.60	0.30	25.00	2.30	43.70
Balance as at 31 March 2022	-	10.80	22.60	1.20	285.30	21.80	66.40	4.40	24.20	14.60	451.30
Balance as at 1 April 2022	**-**	**10.80**	**22.60**	**1.20**	**285.30**	**21.80**	**66.40**	**4.40**	**24.20**	**14.60**	**451.30**
Depreciation for the year	**-**	**1.49**	**8.87**	**0.95**	**83.22**	**8.36**	**22.28**	**1.00**	**12.10**	**8.71**	**146.98**
Accumulated depreciation on disposal	**-**	**-**	**-**	**-**	**1.78**	**4.31**	**2.65**	**-**	**0.47**	**0.12**	**9.33**
Balance as at 31 March 2023	**-**	**12.29**	**31.47**	**2.15**	**368.74**	**25.85**	**86.03**	**5.40**	**35.83**	**23.19**	**588.95**
Net block											
As at 31 March 2022	23.33	15.60	9.40	3.00	402.80	27.00	19.60	3.70	46.00	16.30	566.73
As at 31 March 2023	**23.33**	**14.17**	**8.88**	**4.62**	**439.19**	**29.17**	**27.25**	**3.32**	**49.63**	**14.81**	**614.37**

SEDEMAC Mechatronics Private Limited

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

12B. Capital work-in-progress

Description	Building	Jigs & Fixtures	Electric Installation	Plant and machinery	Furniture and fixtures	Computers	Vehicles	Leasehold Improvements	Office equipment	Total
Balance as at 1 April 2021	-	-	0.10	2.30	-	-	-	0.70	0.30	3.40
Additions	0.10	8.80	2.20	132.80	19.80	24.60	0.40	48.50	16.60	253.75
Capitalised during the year	0.10	8.80	2.30	133.90	19.60	24.40	0.40	49.10	16.50	255.05
Balance as at 31 March 2022	-	0.00	-	1.20	0.20	0.20	-	0.10	0.40	2.10
Balance as at 1 April 2022	**-**	**-**	**-**	**1.20**	**0.20**	**0.20**	**-**	**0.10**	**0.40**	**2.10**
Additions	**0.06**	**8.36**	**2.84**	**139.96**	**11.10**	**29.63**	**0.62**	**19.32**	**6.93**	**219.02**
Capitalised during the year	**0.06**	**8.35**	**2.57**	**120.00**	**11.30**	**30.01**	**0.62**	**15.72**	**7.22**	**195.85**
Balance as at 31 March 2023	**-**	**0.01**	**0.27**	**21.16**	**-**	**0.02**	**-**	**3.70**	**0.11**	**25.27**

Capital Work in Progress	Amount in CWIP for a period of 01 April 2022 to 31 March 2023				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	**25.27**	**-**	**-**	**-**	**25.27**
Projects temporarily suspended	**-**	**-**	**-**	**-**	**-**

Capital Work in Progress	Amount in CWIP for a period of 01 April 2021 to 31 March 2022				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	2.10	-	-	-	2.10
Projects temporarily suspended	-	-	-	-	-

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

13 A. Intangible fixed assets

Description	Product Development	Software (Other than internally developed)	Goodwill	Total
Gross block				
Balance as at 1 April 2021	394.30	73.70	121.70	589.70
Additions	265.30	26.70	-	292.00
Deletion	-	2.20	-	2.20
Balance as at 31 March 2022	659.60	98.20	121.70	879.50
Balance as at 1 April 2022	**659.60**	**98.20**	**121.70**	**879.50**
Additions	**204.06**	**18.31**	**-**	**222.37**
Deletion	**-**	**1.27**	**-**	**1.27**
Balance as at 31 March 2023	**863.66**	**115.24**	**121.70**	**1,100.60**
Balance as at 1 April 2021	164.90	42.30	111.50	318.80
Amortization for the year	87.60	12.80	10.10	110.50
Accumulated depreciation on disposal	-	2.10	-	2.10
Balance as at 31 March 2022	252.50	53.00	121.70	427.20
Balance as at 1 April 2022	**252.50**	**53.00**	**121.70**	**427.20**
Amortization for the year	**138.51**	**14.87**	**-**	**153.38**
Accumulated depreciation on disposal	**-**	**1.27**	**-**	**1.27**
Balance as at 31 March 2023	**391.01**	**66.60**	**121.70**	**579.31**
Net block				
As at 31 March 2022	407.10	45.20	-	452.30
As at 31 March 2023	**472.65**	**48.64**	**-**	**521.29**

13 B. Intangible fixed assets under development

Description	Product Development	Software (Other than internally developed)	Total
Balance as at 1 April 2021	354.00	-	354.00
Additions	228.50	26.90	255.40
Capitalised during the year	265.30	26.70	292.00
Impairment Loss	(2.10)	-	(2.10)
Provision for impairment	(2.00)	-	(2.00)
Balance as at 31 March 2022	313.10	0.20	313.30
Balance as at 1 April 2022	**313.10**	**0.20**	**313.30**
Additions	**302.92**	**19.37**	**322.29**
Capitalised during the year	**204.06**	**18.31**	**222.37**
Impairment Loss	**(0.18)**	**-**	**(0.18)**
Balance as at 31 March 2023	**411.78**	**1.26**	**413.04**

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

13B (i) Intangible Assets under development ageing schedule

Intangible Assets under Development	Amount in CWIP for a period of 01 April 2022 to 31 March 2023				
	Less than 1 year	1-2 years	2-3 years	More than 3 years *	Total
Projects in progress	**231.74**	**96.70**	**27.12**	**57.48**	**413.04**
Projects temporarily suspended	-	-	-	-	-

Intangible Assets under Development	Amount in CWIP for a period of 01 April 2021 to 31 March 2022				
	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	164.42	58.21	13.57	77.10	313.30
Projects temporarily suspended	-	-	-	-	-

* Work with respect to the projects under development for more than 3 years, is under progress and these projects are expected to commercialise in the coming years

14 Deferred tax assets

As per para 17 of AS 22, Where an enterprise has unabsorbed depreciation or carry forward of losses under tax laws, deferred tax assets should be recognized only to the extent that there is virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax assets can be realized". In the absence of virtual certainty, the Company has not recognized deferred tax assets on brought forward / current year tax losses and unabsorbed depreciation.

15 Long-term loans and advances

(unsecured, considered good)

	31 March 2023	31 March 2022
To parties other than related parties		
Capital advances	**67.81**	7.30
Income tax recoverable	**3.99**	18.50
	71.80	25.80

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn unless otherwise stated)

16 Other non-current assets

(Unsecured, considered good unless otherwise stated)

	31 March 2023	31 March 2022
Bank Deposits (due to mature after 12 months from the reporting date) (refer note 19)*	0.85	17.70
Security deposits	36.37	36.00
Prepaid expenses	3.16	-
Receivable from Government - Grants	13.40	-
	53.78	53.70

* Includes two fixed deposits of ₹ 0.02 Mn (previous year : ₹ 0.5 Mn & ₹ 0.05 Mn) given under Lien to ICICI Bank Ltd against Bank Guarantee to Custom Authority. One Fixed Deposit of ₹ 0.7 Mn (previous year : ₹ 0.1 Mn) given under Lien to IDBI Bank against Bank Guarantee to Custom Authority.

17 Inventories

	31 March 2023	31 March 2022
Raw materials (includes Goods in transit of ₹ 130.86 Mn (Previous year: ₹ 148.14 Mn))	764.42	779.50
Work-in-progress	83.63	48.20
Finished products	53.88	83.00
	901.93	910.70

18 Trade receivables

(Unsecured, considered good)

	31 March 2023	31 March 2022
Receivables outstanding for a period exceeding six months from the date they became due for payment		
(a) unsecured, considered good	0.81	4.50
(b) unsecured, considered doubtful	3.36	3.36
Less : Provision for doubtful receivables	(3.36)	(3.36)
	0.81	4.50
- Considered good	152.98	156.50
	153.79	161.00

* Out of the total trade receivables for FY 2022-23 Rs 3.36 Mn (FY 21-22, ₹ 3.36 Mn), receivable from the export customer - Briggs and Stratton, are not recoverable. The Company has provided for this amount and has made application to the RBI seeking for approval to write-off the same from books of accounts.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

18 a) Trade Receivables ageing schedule

Particulars	Outstanding for following periods from due date of payment - 31-03-2023						
	Current but not due	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	130.29	18.99	0.81		-	-	150.09
(ii) Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-	-
(iii) Disputed Trade Receivables considered good	-	-	-	-		-	-
(iv) Disputed Trade Receivables considered doubtful	-	-	-		3.36	-	3.36
v) Provision for doubtful debt receivable					(3.36)		(3.36)
vi) Unbilled Receivable	-	-	-	-	-	-	3.70
Total	130.29	18.99	0.81	-	-	-	153.79

18 b)Trade Receivables ageing schedule

Particulars	Outstanding for following periods from due date of payment- 31-03-2022						
	Current but not due	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Undisputed Trade receivables – considered good	135.30	21.20	3.80	0.70	-	-	161.00
(ii) Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-	-
(iii) Disputed Trade Receivables considered good	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables considered doubtful	-	-	-	-		-	-
(v) Unbilled receivable	-	-	-	-	-	-	-
Total	135.30	21.20	3.80	0.70	-	-	161.00

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

19 Cash and bank balances

	31 March 2023	31 March 2022
Cash and cash equivalents		
- On current accounts	32.15	8.70
	32.15	8.70
Other bank balances		
Bank deposits with original maturity of more than 3 months and balance maturity less than 12 months*	51.89	74.20
	84.04	82.90

* Includes Lien in favour of ICICI Bank on fixed deposit of ₹ 0.5 Mn (previous year ₹ 26.2 Mn)

HDFC Bank Ltd on fixed deposit of ₹ 0.1 Mn. (Previous Year ₹ 16.0 Mn.) against Working Capital facility.

IndusInd Bank Ltd on fixed deposit of ₹ 24.2 Mn. (Previous Year ₹ 10 Mn.) against Working Capital and Term Loan Facility.

IDBI Bank on Two fixed Deposits of ₹ 0.1 Mn and ₹ 0.7 Mn (previous year ₹ 0.7 Mn. & ₹ 0.7 Mn) against Bank Guarantee to Custom Authority.

Mahindra & Mahindra Financial Services on fixed Deposit of ₹ 26.2 (Previous Year ₹ 10.0 Mn.) against Bill Discounting facility.

	31 March 2023	31 March 2022
Details of bank balances / deposits		
Bank deposits due to mature within 12 months of the reporting date included under 'Other bank balances'	51.89	74.20
Bank deposits due to mature after 12 months of the reporting date included under 'Other non-current assets' (refer note 16)	0.85	17.70
	52.74	91.90

20 Short-term loans and advances

(unsecured, considered good)

To parties other than related parties	31 March 2023	31 March 2022
Prepaid expenses	34.77	13.50
Advances to Suppliers	12.73	12.50
Advances to employees	0.15	0.10
Interest Accrued on deposits	0.99	6.60
Other advances	0.01	0.01
Advance custom duty	6.78	6.89
Cenvat credit receivable	0.43	0.30
	55.86	39.90

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. unless otherwise stated)

21 Other current assets

(unsecured, considered good)

	31 March 2023	31 March 2022
Unbilled revenue	-	6.30
Receivable from Government - Grants	17.30	-
Accrued Export Incentives	2.94	9.70
	20.24	16.00

22 Revenue from operations

	31 March 2023	31 March 2022
Sale of products	4,145.90	2,771.40
Sale of services	75.69	59.80
Other operating revenue	8.69	1.50
	4,230.28	2,832.70
Break-up of revenue from sale of products	**31 March 2023**	31 March 2022
Manufactured goods		
Motor Controls	2,233.01	1,114.20
Supervisory Controls	652.24	716.61
Engine Controls	644.63	445.79
Other Controls	616.02	494.80
	4,145.90	2,771.40
Break-up of revenue from services rendered	**31 March 2023**	31 March 2022
Royalty on Licenses	15.60	21.40
Development Charges	59.76	37.60
Job Work Charges	0.33	0.80
	75.69	59.80
Break-up of Other operating revenue	**31 March 2023**	31 March 2022
Scrap Sales	3.44	1.50
Export Incentives and Miscellaneous Income	5.25	-
	8.69	1.50

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

23 Other income

	31 March 2023	31 March 2022
Interest income	4.26	5.10
(Loss) / Gain on account of foreign exchange fluctuations (net)	-	7.60
Export Incentives and Miscellaneous Income	-	13.80
Government Grant for the year (Refer Note 2.18)	56.17	-
	60.43	26.50

24 Cost of material consumed

	31 March 2023	31 March 2022
Inventory at the beginning of the year	779.50	499.20
Purchases	3,024.52	2,243.70
Inventory at the end of the year	764.42	779.50
	3,039.60	1,963.40
Less: Capitalised during the year	-	-
	3,039.60	1,963.40

Breakup of cost of material consumed	31 March 2023	31 March 2022
Surface Mounted Device Components (SMD Components)	2,421.74	1,248.30
Packing, Consumables	227.00	158.00
Printed Circuit Boards	94.50	130.50
Electricals	79.83	111.90
Casing	98.76	93.40
Motors	35.09	25.80
Others*	82.68	195.50
	3,039.60	1,963.40

* Includes material below 10% of total value

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

25 Changes in inventories of finished goods and work-in progress

	31 March 2023		
Particulars	**Opening Inventory**	**Closing Inventory**	**(Increase)/ Decrease in Inventory**
Finished Goods			
Motor Controls	**57.20**	**16.45**	**40.75**
Supervisory Controls	**-**	**0.04**	**(0.04)**
Engine Controls	**14.30**	**26.46**	**(12.16)**
Other Controls	**11.50**	**10.93**	**0.57**
	83.00	**53.88**	**29.12**
Work-in-progress	**48.20**	**83.63**	**(35.43)**
	48.20	**83.63**	**(35.43)**
Changes in inventories of finished goods and work-in-progress	**131.19**	**137.51**	**(6.31)**
Amounts disclosed as 0.00 are below the disclosure thresholds of the company			

	31 March 2022		
Particulars	**Opening Inventory**	**Closing Inventory**	**(Increase)/ Decrease in Inventory**
Finished Goods			
Motor Controls	0.10	57.20	(57.10)
Supervisory Controls	0.10	-	0.10
Engine Controls	4.10	14.30	(10.20)
Other Controls	4.40	11.50	(7.10)
	8.70	83.00	(74.30)
Work-in-progress	84.60	48.20	36.40
	84.60	48.20	36.40
Changes in inventories of finished goods and work-in-progress	93.30	131.20	(37.90)
Amounts disclosed as 0.00 are below the disclosure thresholds of the company			

SEDEMAC MECHATRONICS PVT. LTD.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, unless otherwise stated)

26 Employee benefits expenses

	31 March 2023	31 March 2022
Salaries, wages and bonus	412.16	330.90
Contribution to Provident and other funds	9.92	7.50
Employee stock compensation expense (Refer ESOP note no 41.)	25.68	21.40
Staff welfare expenses	34.98	27.90
	482.74	387.70
Less : Capitalised during the year	(155.17)	(128.10)
	327.57	259.60

27 Finance cost

	31 March 2023	31 March 2022
Interest expenses	90.08	71.80
Less : Capitalised during the year	-	(0.90)
	90.08	70.90

28 Depreciation and amortisation

	31 March 2023	31 March 2022
Depreciation of tangible fixed assets	146.98	119.30
Amortisation of intangible fixed assets	153.38	110.50
	300.36	229.80
Less : Capitalised during the year	(37.80)	(23.70)
	262.56	206.10

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

29 Other expenses

	31 March 2023	31 March 2022
Consumption of stores and spares	46.79	27.10
Labour charges - Direct	136.29	99.30
Labour charges - non-production	41.35	33.70
Power and fuel	37.22	25.50
Warranty expenses	3.92	9.80
Repair and maintenance		
Building	12.81	7.30
Machinery	16.62	10.80
Others	6.88	4.90
Rent (refer note 32)	69.47	68.60
Payment to auditors	1.90	1.70
Legal and professional charges	64.50	63.80
Security expenses	9.75	9.80
Telephone expenses	5.18	4.60
Travelling expenses	24.52	10.50
Printing and Stationery	1.78	1.80
Advertisement and business promotion	0.73	0.50
Loss on sale of fixed assets	0.15	4.20
Rates and taxes	0.04	1.20
Loss on impairment of Intangible Assets	0.18	4.20
Loss on account of foreign exchange fluctuations (net)	21.69	-
CSR Expenses	0.30	0.10
Miscellaneous expenses	49.38	42.00
Less : Capitalised during the year	(110.03)	(78.50)
	441.42	352.90
Note : Payment to Auditors		
As auditor		
Statutory audit	1.65	1.50
Tax audit	0.20	0.20
Out of pocket expense reimbursed	0.05	-
	1.90	1.70

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

30 Earnings per share (EPS)

Basic earnings per share	31 March 2023	31 March 2022
Net profit after tax attributable to equity share holders for basic EPS	**110.79**	35.00
Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for basic EPS (In Nos.)	**11,017**	10,986
Basic earnings per equity share face value of ₹ 10 (in ₹)	**10,056**	3,186
Diluted earnings per share		
Profit after tax attributable to equity share holders for diluted EPS	**110.79**	35.00
Weighted average number of equity shares of face value ₹ 10 each outstanding during the year for diluted EPS (In Nos.)	**28,014**	28,129
Diluted earnings per equity share face value of ₹ 10 (in ₹)	**3,955**	1,244

31 Employee benefits: Post-employment benefit plans

Defined contribution plan

The Company makes contributions, determined as a specified percentage of employee salaries, in respect of qualifying employees towards Provident Fund, which is a defined contribution plan. The Company has no obligations other than to make the specified contributions. The contributions are charged to the Statement of Profit and Loss as they accrue. The amount recognized as an expense towards contribution to Provident Fund, Employees State Insurance for the year aggregated to Rs. 9.92 Mn (2022 : ₹ 7.50 Mn).

Defined benefit plan

In accordance with the Payment of Gratuity Act, 1972, the Company is required to provide post employment benefit to its employees in the form of gratuity. The present value of the obligation under such defined benefit plan is determined at each Balance Sheet date based on an actuarial valuation using the projected unit credit method. In accordance with AS 15 (Revised), the disclosures relating to actuarial assumptions are provided below

[A] Statement showing changes in present value of obligation

Particulars	31 March 2023	31 March 2022
Defined benefit obligation at the beginning	**41.30**	34.80
Current service cost	**6.25**	5.10
Interest cost	**2.83**	2.30
Past service cost	**-**	-
Prior service cost - non vested benefits	**-**	-
Curtailments	**-**	-
Benefits paid directly by the company	**(3.15)**	(1.60)
Benefits paid from fund	**(0.71)**	(1.30)
Net transfer in/(out) (including the effect of any business combinations/divestitures	**-**	-
Actuarial gain on obligation	**2.48**	2.00
Defined benefit obligation at the end	**49.00**	41.30

SEDEMAC MECHATRONICS PVT. LTD.

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

[B] Table showing changes in the fair value of plan assets

Particulars	31 March 2023	31 March 2022
Fair value of plan assets at the beginning	**17.70**	17.40
Adjustment to opening balances	-	0.30
Expected return on plan assets	**1.28**	1.20
Employer contributions	**3.94**	0.10
Employee's contributions	**(3.15)**	-
Benefits paid	**(0.71)**	(1.30)
Expenses debited by LIC	**(0.15)**	-
Net transfer in/(out) (including the effect of any business combinations/divestitures)	-	-
Actuarial loss on plan assets	**(0.00)**	0.00
Fair value of plan assets at the end	**18.91**	17.70

[C] Unfunded liability

Particulars	31 March 2023	31 March 2022
Unfunded liability	**30.09**	23.60

[D] Actuarial gain / loss recognized

Particulars	31 March 2023	31 March 2022
Actuarial gain for the current period - obligation	**2.49**	2.00
Actuarial loss for the current period - plan assets	**0.00**	(0.00)
Total actuarial gain for the current period	**2.49**	2.00

[E] Amounts to be recognized in the Balance Sheet

Particulars	31 March 2023	31 March 2022
Present value of defined benefit obligations at the end	**49.00**	41.30
Fair Value of plan asset at the end	**18.91**	17.70
Funded Status - Unfunded liability	**30.09**	23.60

Bifurcation of present value of obligations at the end of the current period

Particulars	31 March 2023	31 March 2022
Current liability	**3.75**	3.50
Non-current liability	**26.34**	20.10
Present value of obligation as at the end	**30.09**	23.60

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

[F] Expenses recognised in the Statement of Profit and Loss

Particulars	31 March 2023	31 March 2022
Current Service cost	6.25	5.10
Interest cost on obligation	2.83	2.30
Past service cost	-	-
Expected return on plan assets	(1.28)	(1.20)
Amortisation of prior service cost	-	-
Net actuarial gain to be recognised	2.49	2.00
Expenses debited by LIC	0.14	-
Expense recognised in statement of Profit and Loss	10.43	8.20

[G] Actuarial assumptions

Particulars	31 March 2023	31 March 2022
Discount rate (p.a.)	7.38%	7.19%
Salary escalation rate (p.a.)	8.00%	8.00%
Expected rate of return on plan assets	7.19%	6.94%

[H] Experience adjustment on present value of benefit obligation and plan assets

Particulars	31 March 2023	31 March 2022
Gain / (Loss) on Plan Liabilities	2.49	2.00
% of Opening Plan Liabilities	6.02%	5.70%
Gain on Plan Assets	0.00	0.00
% of Opening Plan Assets	0.00%	0.00%

Amounts disclosed as 0.00 are below the disclosure thresholds of the company.

32 Operating lease as lessee

The Company has taken factory premise, technical center and corporate office under operating leases. Factory premises is leased for a period of ten years, technical centre and corporate office, both are leased for a period of five years, with an option to renew the lease after this period. Operating lease payments for the period charged to Statement of Profit and Loss amount to ₹ 69.47 Mn (previous year : ₹ 68.60 Mn) (net of operating lease rent capitalised amounting to ₹ 23.88 Mn (previous year: ₹ 18.19 Mn). The Company has disclosed operating lease rentals payable (minimum lease payments) over the lease term under the above leases is as given below

Future minimum lease payments	31 March 2023	31 March 2022
- Not later than 1 year	65.94	63.20
- Later than 1 year and not later than 5 years	199.98	239.80
- Later than 5 years	27.37	53.40
	293.29	356.40

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

33 Contingent liabilities and commitments

(to the extent not provided for)

	31 March 2023	31 March 2022
Contingent liabilities:		
Liability for bills discounted	25.82	31.50
Indirect tax matters	-	4.80
	25.82	36.30
Commitments :		
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances)	102.17	32.80
	102.17	32.80

34 Related party disclosures

(i) List of Related Parties & relationship:

Sr. No.	Particulars	Name of the Related Party
1	Key Management Personnel	Shashikanth Suryanarayanan (Director) Amit Dixit (Director)
2	Significant shareholders	Nexus India Ventures Investments Iron Pillar Fund I Ltd Iron Pillar India Fund I TR Capital III Mauritius Entrust Family Office Legal And Trusteeship Services Private Limited Montane Ventures

(ii) Disclosure of related party transactions:

Name of the related party	Nature of transactions	31 March 2023	31 March 2022
Mr. Shashikanth Suryanarayanan (Director)	Remuneration to key managerial personnel*	19.07	24.20
Mr. Amit Dixit (Director)	Remuneration to key managerial personnel*	13.02	10.90

* Amount disclosed excludes contribution to gratuity and compensated absences as the incremental liability has been accounted for by the Company as a whole based on actuarial valuation.

SEDEMAC MECHATRONICS PVT. LTD.

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

35 Dues to micro and small suppliers

Particulars	31 March 2023	31 March 2022
The amounts remaining unpaid to micro and small suppliers as at the end of the year		
- Principal	20.68	29.70
- Interest due thereon	0.36	-
The amount of interest paid by the buyer as per the Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006).	-	-
The amounts of the payments made to micro and small suppliers beyond the appointed day during each accounting year.	97.95	118.50
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006	0.36	0.80
The amount of interest accrued and remaining unpaid at the end of each accounting year	0.36	0.80
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under the MSMED Act, 2006	3.46	3.10

Note : The above information has been compiled by the Company on the basis of information made available by vendors during the financial year 2022-23.

36 Details of imported and indigenous raw materials, components and spare parts consumed during the financial year

Raw material	31 March 2023		31 March 2022	
	% of total consumption	Rupees in Mn	% of total consumption	Rupees in Mn
Imported	73%	2,225.91	78%	1,539.90
Indigenous	27%	813.69	22%	423.50
	100%	3,039.60	100%	1,963.40
Spare parts				
Imported	45%	20.65	26%	7.10
Indigenous	55%	25.94	74%	20.00
	100%	46.79	100%	27.10

SEDEMAC MECHATRONICS PVT. LTD.

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

37 CIF Value of Imports

Particulars	31 March 2023	31 March 2022
Raw material (includes Goods in transit of ₹ 130.86 Mn (Previous year: ₹ 148.14 Mn))	3,242.44	1,689.60
Components and spare parts	184.70	13.30
Capital goods	228.63	43.90
	3,655.77	1,746.80

38 Unhedged foreign currency exposures

Nature of exposure	Currency	Amount in Foreign currency		Equivalent amount in INR	
		31 March 2023	31 March 2022	31 March 2023	31 March 2022
Trade Receivable	USD	0.04	0.50	3.21	37.60
	EUR	0.10	0.00	8.42	0.40
Trade Payable	USD	5.00	2.10	410.92	160.60
	EUR	0.06	0.00	5.40	3.90

* Amounts disclosed as 0.00 are below the disclosure thresholds of the company.

39 Expenditure in foreign currency

Particulars	31 March 2023	31 March 2022
Legal and professional charges	17.54	17.10
Consumables and Factory Expenses	17.46	10.20
Foreign Travelling Expenses	1.35	0.60
Recruitment Expenses	1.97	-
Repairs & Maintenance	4.58	-
Others	1.74	1.30
Total	44.64	29.20

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

40 Earnings in foreign currency

Particulars	31 March 2023	31 March 2022
FOB Value of exports (including sale of services)		
(Above amount does not include Sales to SEZ (Deemed Exports) amounting to ₹ 6.62 Mn. (previous year: ₹ 7.16 Mn)	241.72	368.80

41 Employee stock option scheme

The Company has granted share option awards to eight (previous year. four) of its employee. At share-based payment awards granted are options to purchase common stock in the Company, which are right to receive a share of the Company at a future vesting date with agreed exercise price. Stock options outstanding as of 31 March 2023 vest over the date of grant and are valued at the date of grant using Black Scholes model

Sr. No.	Particulars		Figures are in INR	
			31 March 2023	31 March 2022
1	**Terms and conditions of various options granted under ESOS**			
a	Exercise Price			
	Date of grant	01-04-2022 (PY : 30-04-2021)	3,41,000	3,41,000
	Date of grant	01-04-2022 (PY : NIL)	3,60,000	-
	Date of grant	15-04-2022 (PY : NIL)	3,70,000	-
	Date of grant	15-04-2022 (PY : NIL)	10	-
b	**Vesting Period for options vested during the year**		**Graded vesting over a period of 1 to 4 years**	Graded vesting over a period of 1 to 4 years
	Period from date of grant		**No of options vested**	No of options vested
	Upon expiry of April 01, 2021			127
	Upon expiry of April 15, 2021			47
	Upon expiry of September 26, 2021			10
	Upon expiry of April 01, 2022		62	
	Upon expiry of March 31, 2022		55	
	Upon expiry of April 15, 2022		14	
	Upon expiry of April 30, 2022		28	
	Upon expiry of September 26, 2022		10	
c	**Exercise Period**		**Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment**	Earlier of the date of IPO and the relevant date as determined in accordance with the ESOP Policy, in case of cessation of the employment

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Westin Hotel Company

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Sr. No.	Particulars		Figures are in INR	
			31 March 2023	31 March 2022
2	**ESOP Summary**			
a	No. of Options in force at the beginning of the year		791	607
b	No. of Options unvested at the beginning of the year		310	383
c	No. of Options granted during the year		248	111
d	No. of Options vested during the year		169	184
e	No. of Options lapsed / forfeited / cancelled during the year		0	-
f	No. of Options exercised during the year		91	-
g	No. of Options in force at the end of the year		869	791
h	No. of Options unvested at the end of the year		379	310
3	**Exercise price for**			
a	**Options outstanding at the beginning of the year**			
	Date of grant	01-04-2018	85,730	85,730
	Date of grant	26-09-2018	85,730	85,730
	Date of grant	01-04-2019	1,77,160	1,77,160
	Date of grant	01-04-2019	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	15-04-2020	10	10
	Date of grant	15-04-2020	2,29,600	2,29,600
	Date of grant	30-04-2021	3,41,000	3,41,000
	Date of grant	01-04-2022	3,41,000	-
	Date of grant	01-04-2022	3,60,000	-
	Date of grant	15-04-2022	3,70,000	-
	Date of grant	15-04-2022	10	-
c	**Options forfeited during the year**		-	-
d	**Options exercised during the year**		-	-
e	**Options expired during the year**		-	-
f	**Options outstanding at the end of the year**		-	-
	Date of grant	01-04-2018	85,730	85,730
	Date of grant	26-09-2018	85,730	85,730
	Date of grant	01-04-2019	1,77,160	1,77,160

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Sr. No.	Particulars		Figures are in INR	
			31 March 2023	31 March 2022
	Date of grant	01-04-2019	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	15-04-2020	10	10
	Date of grant	15-04-2020	2,29,600	2,29,600
	Date of grant	30-04-2021	3,41,000	3,41,000
	Date of grant	01-04-2022	3,41,000	
	Date of grant	01-04-2022	3,60,000	
	Date of grant	15-04-2022	3,70,000	
	Date of grant	15-04-2022	10	
g	**Options exercisable at the end of the year**			
	Date of grant	01-04-2018	85,730	85,730
	Date of grant	26-09-2018	85,730	85,730
	Date of grant	01-04-2019	1,77,160	1,77,160
	Date of grant	01-04-2019	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	01-04-2020	2,12,593	2,12,593
	Date of grant	15-04-2020	10	10
	Date of grant	15-04-2020	2,29,600	2,29,600
	Date of grant	30-04-2021	3,41,000	
4	**Contractual life of Options outstanding at the end of the year**		-	-
5	**Fair value of per option granted during the year**		3,69,633	3,41,297

Assumptions used to estimate the Fair Value of Options using Black Scholes model

Sr. No.	Particulars	31 March 2023	31 March 2022
1	Risk-free interest rate	7.01%	4.93%
2	Expected Life	2.25 years	1.25 years
3	Expected Volatility	33.59%	34.16%
4	Expected Dividend yield	NIL	NIL
5	Fair market value of underlying share (In Rs.)	3,69,633	3,41,297

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Expense recognized on account of "Employee share-based payments" are as follows:

Particulars	31 March 2023	31 March 2022
Expense arising on account of Employee share-based payments	25.68	21.40

42 Segment reporting

Description of segments and principal activities

The Company's operations predominantly relate to the operating segments in the motor control technology, transmission controls and which consists of, Automated Manual Transmission, Integrated Starter Generator, Electric Vehicle Motor Control Unit and Electrification control units and are aggregated into one reportable segment: 'Automotive Products' in accordance with the aggregation criteria.

The Company also operates in other businesses consisting of small powertrain engine controls business which consists of Genset Control Units, Engine Control Units, Electronics Governors, Control Panels, Actuators and are aggregated into one reportable segment 'Off-Highway Products' in accordance with the aggregation criteria.

Aggregation is done due to the similarities of the basic technology provided to the customers, and similarities in usage of the products by customers.

The Company's core activity is research and development and during the year 2017 company has received recognition as R&D Unit from Department of Scientific and Industrial Research

Therefore, the reportable segments consist of 'Off-Highway products', 'Automotive products' and 'R&D'

The Accounting principles and policies adopted in the preparation of the financial statements are also consistently applied to record income/ expenditure and assets/ liabilities in individual segments.

Segment revenue and result

For the year ended on 31 March 2023	Off-High-way	Automotive	R&D	Unallocable	Total
Sale of Products (Net)	806.14	3,339.76	-	-	4,145.90
Sale of Services	18.61	57.08	-	-	75.69
Total Revenue	824.75	3,396.84	-	-	4,221.59
Other operating revenue	5.70	2.99	-	-	8.69
Other income	43.53	16.90	-	-	60.43
Cost of materials consumed	463.56	2,569.42	0.32	-	3,033.29
Employee benefits expense	57.52	156.71	113.34	-	327.57
Finance costs	16.42	63.00	10.66	-	90.08
Depreciation and amortization expenses	27.99	86.51	148.06	-	262.56
Other expenses	96.61	278.74	64.07	-	441.42
Current Tax	-	-	-	25.00	25.00
Segment Result	209.89	262.35	(336.45)	(25.00)	110.79

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. except per share data)

Segment revenue and result

For the year ended on 31 March 2022	Off-Highway	Automotive	R&D	Unallocable	Total
Sale of Products (Net)	913.80	1,857.60	-	-	2,771.40
Sale of Services	3.40	56.40	-	-	59.80
Total Revenue	917.20	1,914.00	-	-	2,831.20
Other operating revenue (scrap sales)	0.30	1.20	-	-	1.50
Other Income	17.00	9.50	-	-	26.50
Cost of materials consumed	536.00	1,389.50	-	-	1,925.50
Employee benefits expense	48.10	121.70	89.80	-	259.60
Finance costs	28.80	41.20	0.90	-	70.90
Depreciation and amortization expense	49.40	86.00	70.70	-	206.10
Other expenses	165.80	182.60	4.30	-	352.90
Current Tax	-	-	-	9.20	9.20
Segment Result	106.40	103.50	(165.70)	(9.20)	35.00

Details of segment assets and liabilities

For the year ended on 31 March 2023	Off-Highway	Automotive	R&D	Unallocable	Total
Segment Liabilities	**740.86**	**1,409.74**	**(331.71)**	**1,096.52**	**2,915.41**
Segment Assets	**1,396.16**	**565.91**	**829.71**	**23.63**	**2,915.41**

For the year ended on 31 March 2022	Off-Highway	Automotive	R&D	Unallocable	Total
Segment Liabilities	1,470.00	240.00	-160.00	1,074.43	2,624.43
Segment Assets	1,400.00	300.00	410.00	514.43	2,624.43

43 **Additional disclosures relating to Provisions**

Disclosure as required by Accounting Standard (AS 29) - Provisions, Contingent liability and Contingent assets

Particulars	Warranty Provision	
	31 March 2023	31 March 2022
Provisions as at commencement of the year	**9.80**	14.00
Add: Additional provisions made during the year	**10.24**	9.80
Less: Amounts used / reversed during the year	**(9.80)**	(14.00)
Provisions as at end of the year	**10.24**	9.80

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

44 Disclosure in respect of Research and Development activities as per the requirements of Department of Scientific and Research ('DSIR'):

Sr. No.		Particulars	31 March 2023	31 March 2022
A.	(i)	Land		
	(ii)	Buildings		
B.		**Capital**		
	(i)	Equipment	**63.23**	117.30
	(ii)	Others (Intangibles) Recurring expenses capitalised	**232.28**	176.10
		Total capital expenditure (B) = (i) to (ii)	**295.51**	293.40
C.		**Revenue Expenditure**		
	(i)	Salaries and Wages	**102.44**	35.00
	(ii)	Material, Consumables and Spares	**2.13**	0.60
	(iii)	Utilities	**15.95**	-
	(iv)	Other expenditure directly related to R & D	**19.00**	0.20
		Total revenue expenditure (C) = (i) to (iv)	**139.52**	35.80
D.		**"Total Expenditure on the approved R & D Center (excluding Land & Building) (B+C)"**	**435.03**	329.20

The Company has an in-house Research and Development center which is approved by Department of Scientific and Industrial Research (prescribed authority) with effect from 24th May 2017 as per approval letter dated 28th June 2017, reference number TU/IV-RD/4178/2017. The same recognition as an in-house Research and Development center is extended further till 31st March 2023, as per the letter from the prescribed authority, dated 11th December 2020, reference number TU/IV-RD/4178/2020.

45 Corporate Social Responsibility (CSR)

Sr. No.	Particulars	31 March 2023	31 March 2022
1	Amount required to be spent by the Company during the year	**0.25**	0.10
2	Amount of expenditure incurred	**0.30**	0.10
3	Shortfall at the end of the year	**-**	-
4	Total of previous years shortfall	**-**	-
5	Reasons for shortfall	**-**	-
6	Details of related party transactions	**Not Applicable**	Not Applicable
7	Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in position	**Not Applicable**	Not Applicable

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. except per share data)

(Amount in note no 3 are rounded off and stated in Mn. For better understanding, the amounts are disclosed in absolute numbers .)

46 Share Capital (read with note no.3)

Particulars	All figures are in INR	
	31 March 2023	31 March 2022
Authorised		
Equity Shares		
11,900 (Previous year: 11,900) equity shares of ₹ 10 each	**1,19,000**	1,19,000
Total	**1,19,000**	1,19,000
Preference Shares		
5,200 (Previous year: 5,200) 0.001% Series A Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	**52,000**	52,000
3,200 (Previous year: 3,200) 0.001% Series B Compulsorily Convertible Preference Shares (CCPS) of ₹ 10 each	**32,000**	32,000
1,400 (Previous year: 1,400) 0.001% Series C Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**1,40,000**	1,40,000
700 (Previous year: 700) 0.001% Series D Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**70,000**	70,000
770 (Previous year: 770) 0.001% Series D1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**77,000**	77,000
800 (Previous year: 800) 0.001% Series E Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**80,000**	80,000
3,250 (Previous year: 3,250) 0.001% Series E1 Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**3,25,000**	3,25,000
1,050 (Previous year: 1,050) 0.001% Series F Compulsorily Convertible Preference Shares (CCPS) of ₹ 100 each	**1,05,000**	1,05,000
Total	**8,81,000**	8,81,000
Grand Total	**10,00,000**	10,00,000
Issued, subscribed and paid-up		
Equity Shares		
11,077 (Previous year: 10,986) equity shares of ₹ 10 each fully paid up	**1,10,770**	1,09,860
Total	**1,10,770**	1,09,860

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Particulars	All figures are in INR	
	31 March 2023	31 March 2022
Preference Shares		
5,179 (Previous year: 5,179) 0.001% Series A CCPS of ₹ 10 each fully paid up	**51,790**	51,790
3,111 (Previous year: 3,111) 0.001% Series B CCPS of ₹ 10 each fully paid up	**31,110**	31,110
1,343 (Previous year: 1,343) 0.001% Series C CCPS of ₹ 100 each fully paid up	**1,34,300**	1,34,300
648 (Previous year: 648) 0.001% Series D CCPS of ₹ 100 each fully paid up	**64,800**	64,800
762 (Previous year: 762) 0.001% Series D1 CCPS of ₹ 100 each fully paid up	**76,200**	76,200
797 (Previous year: 797) 0.001% Series E CCPS of ₹ 100 each fully paid up	**79,700**	79,700
3,247 (Previous Year: 3,247) 0.001% Series E1 CCPS of ₹ 100 each fully paid up	**3,24,700**	3,24,700
1,023 (Previous Year: 1,023) 0.001% Series F CCPS of ₹ 100 each fully paid up	**1,02,300**	1,02,300
Total	**8,64,900**	8,64,900
Grand Total	**9,75,870**	9,74,760

47 Key Financial Ratios

Sr No.	Ratio	Numerator	Denominator	31 March 2023	31 March 2022	Change	% Of change
1	Current Ratio	Current Assets	Current Liabilities excluding Short term borrowings and current maturities of long-term borrowings	1.56	2.26	-0.70	-30.91%
2	Debt – Equity Ratio	Debt consists of long term borrowings from banks (including current maturities) & investors and short term borrowings	Shareholder's Funds	0.62	0.78	-0.16	-20.46%

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Sr No.	Ratio	Numerator	Denominator	31 March 2023	31 March 2022	Change	% Of change
3	Debt Service Coverage Ratio	Earning for Debt Service = Profit/(Loss) for the year + Depreciation + Finance costs	Debt service = Interest on term loan from banks + Principal repayments	2.14	2.29	-0.15	6.47%
4	Return on Equity (ROE):	Profit /(Loss) for the year	Average Shareholder's Funds	9.13%	3.31%	5.82%	175.79%
5	Trade receivables turnover ratio	Revenue from operations	Average trade receivables	26.88	12.15	14.73	121.21%
6	Trade payables turnover ratio	Purchases and other expenses	Average trade payables	6.30	21.54	15.40	-71.15%
7	Net capital turnover ratio	Revenue from operations	Average working capital (i.e. Total current assets less Total current liabilities excluding short term borrowings)	7.59	4.19	3.40	81.07%
8	Net profit ratio	Profit /(Loss) for the year	Revenue from operations	2.62%	1.31%	1.31%	100.35%
9	Return on capital employed (ROCE)	Profit before tax and finance costs	Capital Employed = Tangible Net Worth (Shareholder's Funds) + Total Debt - Deferred tax Assets.	10.83%	5.73%	5.10%	89.02%
10	Return on Investment	Income generated from Investments	Invested Funds	5.89	6.21	-0.32	-5.15%
11	Inventory Turnover Ratio	Annualized Cost of goods sold	Average Inventory	3.35	2.56	0.79	31.01%

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Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn, except per share data)

Reasons for variance more than 25%

S No.	Ratio	Reason for variance
1	Current Ratio	Due to favourable increase in credit periods by vendors, trade payables are increased in FY 22-23, hence current ratio has decreased.
2	Return on Equity (ROE).	The net profit after tax has increased by 217% in current financial year. Hence, ROE has increased
3	Trade receivables turnover ratio	In current year ,company has utilized bills discounting and bills factoring services due to which trade receivables have decreased. Hence, debtors turnover ratio has improved.
4	Trade payables turnover ratio	Due to favourable increase in credit period by vendors, trade payables are increased during the year. Hence, there is decrease in trade payable turnover ratio
5	Net capital turnover ratio	Due to 49% growth in company's revenue from operations in FY 22-23, the net capital turnover ratio and net profit ratio has improved
6	Net profit ratio	
7	Return on capital employed (ROCE)	Due to increase in revenue from operations and net profit in FY 22-23, ROCE has increased
8	Inventory Turnover Ratio	Due to increase in operations in FY 22-23, the inventory turnover ratio has improved.

48 Other Statutory Information

a The Company do not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property

b The Company do not have any transactions with companies struck off.

c. The Company do not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.

d. The Company have not traded or invested in Crypto currency or Virtual Currency during the financial year.

e. The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

f) The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

ii) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

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Pune-411001 India

Notes to financial statements for the year ended 31 March 2023 (Contd.)

(Amounts in INR Mn. except per share data)

g) The Company have no such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.

h) The Company is not declared willful defaulter by any bank or financial institution or government or any government authority.

i) Compliance with number of layer of companies as per Companies Act, 2013 : The Group has complied with the number of layers prescribed under clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017

j) The Company has not entered into any scheme of arrangement which has an accounting impact on current financial year

k) The Company has not revalued its Property, Plant and Equipment (including Right- of- Use Assets) or Intangible assets or both during the current financial year.

l) The Company has used the borrowings from financial institutions for the specific purpose for which it was taken at the balance sheet date.

m) The company has been sanctioned working capital limits in excess of five crore rupees in aggregate, from banks or financial institutions on the basis of security of current assets, the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with books of accounts of company

49 Previous year comparatives have been regrouped/ reclassified to confirm with current year's presentation.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Sanjiv Khilnani
Partner
Membership No 122613
CA UDIN : 23122613BGXUWG7309
Place: Pune
Date 22 September 2023

For and on behalf of the Board of Directors of
SEDEMAC Mechatronics Private Limited
(CIN : U29253MH2007PTC172479)

Shashikanth Suryanarayanan
Director
DIN : 01269904

Place: Lisbon
Date 22 September 2023

Amit Dixit
Director
DIN 01288169

Place. Pune
Date: 22 September 2023